

TSSI pitch deck

PITCH — TSSI — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no orders, nothing armed; the blue bench's gated starter ($\leq 0.5\%$ of the book, only after Dell's 2026-09-01 call) is proposed, and the red bench's outright reject is not fully retired.

What we believe

TSS, Inc. builds and runs the physical plumbing for AI data centers — it integrates server racks, procures equipment, and manages facilities. One customer, an unnamed large US computer maker (widely assumed to be Dell, never verified by us), is 99% of revenue and 100% of receivables.

The stock is \$8.79, down 59% from its 52-week high of \$21.77 and 28% up off its low of \$6.87. Market value \$248M. Two consecutive quarterly reports gapped it down roughly 25% each.

What we believe, stated as narrowly as the evidence supports:

1. **The earnings decline is a mix change, not a collapse.** Revenue fell from \$44.0M to \$35.1M year-over-year because the low-margin procurement line shrank. But gross margin went 16.4% → 22.8%, gross profit rose ~11%, and adjusted EBITDA rose ~12%. Fewer dollars through the door, more dollars kept.
2. **Procurement is very likely coming back next quarter, and we can see it in a filing.** The company's own quarterly report discloses \$62.2M of purchase orders it has issued to suppliers, \$51.5M of it in procurement, "expected fulfilled within six months." Inventory only built \$598K in the first half — so those orders are not sitting in a warehouse, they are unfilled orders against customer work. At procurement's ~11% margin, \$51.5M of cost converts to roughly \$58M of revenue over two quarters, about \$29M per quarter. That corroborates management's spoken \$30–40M guide.
3. **The full-year guide does not depend on that snapback.** First-half adjusted EBITDA was ~\$9M against a \$20–22M full-year guide, implying \$11–13M in the second half — near the current run rate. So procurement's return is upside, not a requirement.
4. **The price gap versus the sell side is real and has a named cause.** Two analysts carry a \$16.50 average target against an \$8.79 tape. 18.4% of the float is short, 5.9 days to cover, beta 2.05, market cap \$248M. That pattern — two violent print gaps plus a crowded short in a small cap — reads as momentum unwind, not as anyone re-underwriting the business.

And we believe two things against ourselves, both of which survived the court intact:

- **99% of revenue and 100% of receivables come from one customer.** No filing, no print, and no argument retires that before November. If that customer's AI-server build slows, this is

not a 30% drawdown name.

- **The funding model inverted.** Customer prepayments (deferred revenue) fell from \$13.9M to about \$2.8M. The customer used to fund the procurement inventory; now TSS does, carrying \$62.2M of supplier commitments against \$67.7M of cash. Same revenue, worse returns on capital, and a real ceiling on how big the snapback can be.

What the market believes

The market is holding two views at once, and they are far apart.

The sell side believes the snapback is arithmetic. Consensus Q3 revenue is \$48.3M against Q2's \$35.1M — that \$13M step-up is the procurement return, already in the published number. EPS consensus \$0.05. Average target \$16.50, +88% from here.

The tape believes something closer to the red bench's case: that a company with one customer, falling revenue, a customer that has stopped prepaying, cash burn in the first half, and 14.6% annual share-count growth is not worth 9x EBITDA. Nearly a fifth of the float is short and willing to pay to say so.

Note carefully what the market does *not* believe: it does not believe procurement is gone. It believes the customer relationship is fragile and that TSS is now financing it. That is a more sophisticated bear case than “revenue fell.”

Why we might have edge

Honestly: not much, and not the kind we usually claim.

- **We do not have an estimate edge.** Consensus already has the snapback. We agree with the published number. Red is right about this and it is the single most deflating fact in the deck.
- **What we might have is a document edge on timing.** The \$51.5M supplier-PO disclosure with a stated six-month fulfillment window is a dated, primary-filing forward read that we can convert to ~\$29M/quarter. Most people reading a \$248M-cap microcap do not open the commitments note, and the transcript guide (\$30–40M) is dismissible as management talk in a way a filed commitment is not.
- **We might have a structural edge, not an information edge.** Being able to hold a 2.05-beta, 18%-short microcap through a momentum unwind is a different capability than predicting the number. If the fair price is set by forced sellers rather than by analysis, patience is the edge.
- **The quality of the revenue is better than the headline.** \$111.9M of the \$115M in contracted future revenue is multi-year facilities work recognized ratably. In a name whose bear case is volatility, that is a stabilizer. The red bench cited this number only to attack it and never scored it as a positive.
- **Receivables are clean.** \$14.3M on \$35.1M of quarterly revenue is about 37 days. There is no stretched receivable hiding behind the revenue decline — a very common tell in pass-through businesses, and it is absent.

Why it might be priced in

- **It is priced in, by the only external anchor we have.** Q3 consensus of \$48.3M already embeds the procurement return. If we buy on “procurement comes back” we are buying the published estimate.
- **9.4x is not a dislocation multiple.** EV is \$196.4M (\$248.05M market cap less \$51.6M net cash) against a \$20–22M EBITDA guide — 9.4x, or 11.7x after backing out the \$4.2M/year of stock compensation the adjusted number adds back. Cheap stocks in a real dislocation do not trade at 9x. This is a de-rated growth stock, not a distressed one.
- **Both benches agree this is a contested, well-covered name, not an undiscovered one.** 18.4% short interest means the bear case is fully articulated by people who have read the same filing.
- **The near-term read-through is an external event we don’t control.** Dell reports 2026-09-01. Whatever Dell says about AI-server demand will price TSS more than anything TSS itself discloses before November.
- **Dilution is running.** Diluted shares went 25.8M → 29.6M in a year (+14.6%); stock comp is \$1,049K/quarter versus \$150K two years ago, a 7x increase. Some of the equity value we are underwriting accrues to employees.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The \$51.5M is customer backlog proving Q3 revenue	Pulled the 10-Q/A commitments note in full (SEC)	It is purchase orders TSS issued to its own suppliers — an obligation, not an order received. The original brief we convened the court on had this backwards.	NO — our own framing was wrong
...but is it therefore meaningless?	Checked inventory build (+\$598K in H1) and procurement gross margin (~11%: \$2.0M GP on \$18.2M)	In a matched-book pass-through, supplier POs that aren’t building inventory <i>are</i> a demand proxy. \$51.5M of cost ÷ 6 months ≈ \$29M/qtr of revenue.	YES — economic inference survives; the label did not
Enterprise value and multiple	Recomputed from the balance sheet	Cash \$67.679M – debt \$16.080M = \$51.60M net cash. \$248.05M – \$51.60M = \$196.4M EV , 9.4x guided EBITDA (11.7x ex-stock-comp). Our red bench published \$208M and 12.4x — a ~6% overstatement, arithmetic error.	Corrected. Red bench erred.
“The two bull legs cancel — procurement’s return re-dilutes margin”	Redid it in dollars instead of percentages	Procurement at \$35M × 7–11% = \$2.7–3.9M of gross profit vs \$2.0M today. Margin <i>percentage</i> dilutes; gross profit <i>dollars</i> rise. Our red bench made a percent-vs-dollars error and booked free upside as a negative.	NO — red bench erred

Claim	How checked	Found	Confirmed?
“Cash flow deteriorated: H1 operating cash – \$7.3M”	Traced the cash flow statement	The –\$7.3M is <i>caused by</i> the –\$10.9M deferred-revenue release. Ex-that, operating cash was about +\$3.6M . Our red bench cited the burn and the deferred-revenue drain as two independent pieces of evidence — it is one event counted twice.	NO — red bench double-counted
“The press release contradicts the \$30–40M guide”	Read the PR and its segment table against the transcript	The PR frames the decline as a strategic shift toward higher-margin work; its own table shows procurement continuing at \$18.2M. This is emphasis differing between venues, not two incompatible claims. Red also contradicted itself, arguing the guide is unsupported and separately that the guide never needed the snapback.	Downgraded to a watch item, not a kill
“The 10-Q/A amendment signals a problem”	Read the explanatory note	<i>“The sole purpose of this Amendment is to complete inline XBRL tagging that was inadvertently not included in the Original Filing.”</i> No restatement. Our red bench found this and dropped its own cheapest kill honestly — creditable.	Benign, confirmed
Dell’s report date	Company-issued release (Businesswire, 2026-08-18)	Tuesday, Sept. 1, 2026, 3:30 p.m. CDT. Red carried this from a secondary source and flagged it as unverified; blue closed it with the primary.	YES — confirmed
\$115M of contracted future revenue supports Q3	10-Q/A revenue note	Only \$2.6M maintenance + \$451K falls within a year; \$111.9M is multi-year ratable. It cannot support any Q3 claim. The brief’s use of it was an aggregation error.	NO — but it is a quality-of-earnings positive, which red omitted
Share count and stock comp	Filed XBRL series	25,807K → 29,564K diluted (+14.6%); comp \$1,049K/qtr vs \$150K in Q1-2024. Caveat: diluted counts expand with share price, so a count struck near \$21 overstates dilution at \$8.79. We did not pull the equity note to size this.	Directionally yes; magnitude unverified
Deferred revenue end balance	Both benches read the same balance sheet	Red reported \$3.0M, blue reported \$2.8M. Small, but unreconciled between our own benches — we have not gone back to the statement to settle it.	Unresolved discrepancy in our own work
Is this a consumer-discretionary business?	Both benches	No. The industry tag is a classification artifact; it is a business-to-business rack integrator with no consumer product. Every consumer-facing check we own is inapplicable.	Yes — tag is wrong, correctly ignored
The \$17M Georgetown, TX power-and-cooling build	Not checked	This is the one bull claim that is physically verifiable via building permits. Georgetown sits in Williamson County,	NOT CHECKED — top gap

Claim	How checked	Found	Confirmed?
		outside the Austin permit feed we have wired. Neither bench ran it. Both named it the highest-value miss.	
Who the customer actually is	Not checked	Our customer-identification method (matching customs bills of lading to shipper aliases) would name the OEM and make the Sept. 1 read-through actionable. Neither bench ran it. Dell is an assumption, not a finding.	NOT CHECKED
Insider selling	Not checked	A Form 144 was filed 2026-05-06, one day before the May 7 report that gapped the stock -26.9%; two more on 5/28. Red called them routine without pulling them; blue flagged that and did not pull them either. Seller and size unknown.	NOT CHECKED — both benches skipped it

PROPOSED ENTRY BANDS

Posture until 2026-09-01: FLAT. Both benches independently reached this. Dell's fiscal Q2 call is the harder read-through on AI-server demand than anything TSS will say, and there is no reason to own the supplier into the customer's print.

All share-count math below uses 29.564M diluted shares and \$51.60M net cash (\$1.75/share), from the filed balance sheet and XBRL.

Starter — after Dell's 2026-09-01 call, if Dell's AI-server commentary is neutral or better - Band: \$8.00 – \$8.90. The top of that band is roughly 9.5x the guided EBITDA midpoint on a \$196M enterprise value — the highest multiple either bench was willing to defend. - Size: **0.5% of the book, maximum.** This is a 99%-single-customer, 2.05-beta microcap. The sizing is set by the concentration, not by the conviction. - Do not chase above \$8.90 pre-November. If Dell's call sends it to \$10.50 before we own it, we have lost nothing that we were entitled to.

Second tranche — after the Q3 10-Q, only if both checks pass - Both must be true in the filing: **deferred revenue rebuilt above ~\$10M** (the customer resumes prepaying), **and procurement open purchase orders still above ~\$30M.** - Band: **\$7.40 – \$9.50.** \$7.43 is 8.0x guided EBITDA plus net cash — a level where the multiple stops being the argument against us. - Size: a further **0.5% of the book. Total position capped at 1.0%.**

Do-not-add floor - Below \$6.87 (the 52-week low): stop adding entirely and re-underwrite from scratch. A new low after a Dell print and a Q3 report means the tape is pricing structural customer loss, not a momentum unwind, and our stated mechanism is wrong.

Exits and trims - Kill trigger — exit in full at any price: deferred revenue fails to rebuild above ~\$10M in the Q3 10-Q, **or** procurement open purchase orders fall below ~\$30M. Either one falsifies the specific mechanism we are buying. - **Kill trigger — exit in full:** any disclosure that the single OEM relationship is being reduced, repriced, or moved. - **First trim at \$13.00 – \$13.50.** That is roughly

16x guided EBITDA — above what either bench could defend on the numbers, so it is a valuation trim, not a target. - **Exit remainder at \$16.50**, the sell-side average target. Above that we would have no independent valuation support and would be holding on momentum alone. - **Tax note:** any position opened after 2026-09-01 and exited on a Q3 kill trigger in November is a short-term loss. That is acceptable — a fast short-term loss is the intended shape of a falsification exit — but size it knowing the exit is likelier than the hold.

Catalyst dates - 2026-09-01, 3:30 p.m. CDT — Dell fiscal Q2 2027 results. CONFIRMED by company release. This is the binding near-term event and the entry gate. - **~2026-11-16 — TSS third-quarter results and 10-Q. UNCONFIRMED**; derived from a data vendor and consistent with the May 7 / Aug 13 cadence, but no company release names it. Both kill-trigger checks live in that filing. - **Not a date, but a live condition:** if Q3 consensus drops below ~\$38M, that creates genuine daylight between the street and our ~\$29M/quarter procurement read plus the base business — the one configuration in which we would have an actual estimate edge rather than agreeing with the published number.

Red bench's standing objection, restated fairly: red recommends no entry at any of these levels, at 9/10 conviction, on the grounds that there is no divergence from consensus, no valuation cushion at 9–12x, and an irreducible single-customer structure. Red would reopen only on (a) a disclosure quantifying customer orders *received*, (b) deferred revenue rebuilding above ~\$10M, (c) a named second customer above 10% of revenue, or (d) Q3 consensus below ~\$38M. Note that (b) and (d) are already written into the bands above; (a) and (c) are not, and would upgrade the size rather than trigger entry.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.87 (deck-provisional: 52-week low breach — stop adding and re-underwrite; tape would be pricing structural customer loss, no)
- filing watch: 10-Q until 2027-02-16 (deck-provisional: Q3 filing carries both kill triggers: deferred revenue must rebuild above ~\$10M and procurement open P)
- dated pack TSSI|2026-09-01: TSSI: Dell Technologies fiscal Q2 2027 results, 3:30pm CDT — the AI-server read-through and the entry gate; no position before this (date co
- dated pack TSSI|2026-11-16: TSSI: TSS Q3 2026 results and 10-Q — both kill triggers are single numbers in this filing (date confirmed=False)

What remains unverified

- **The customer's identity.** 99% of revenue and 100% of receivables come from an entity the filing calls a US-based IT original equipment manufacturer. We assume Dell. We have not proven it, and the entire September 1 entry gate is built on that assumption.

- **The \$17M Georgetown power-and-cooling build for the Vera Rubin platform.** Transcript only. Never confirmed against a permit, a contract, or a filing.
- **The Q3 report date.** Vendor-derived, cadence-consistent, and not named in any company release.
- **The Form 144 insider sales** — 2026-05-06, and two on 2026-05-28. Seller, size, and whether the May 6 filing preceded the May 7 gap by coincidence are all unknown. Both benches skipped this.
- **Forward dilution magnitude.** The +14.6% diluted share count was struck when the stock was near \$21; at \$8.79 fewer options are in the money. We did not pull the equity note to size the real forward number.
- **Whether ending deferred revenue is \$2.8M or \$3.0M** — our two benches reported different figures from the same balance sheet and neither went back to settle it. It does not change the direction (a collapse from \$13.9M) but it is an unreconciled disagreement inside our own work.
- **Whether the procurement snapback is fundable.** \$62.2M of supplier commitments against \$67.7M of cash, with the customer no longer prepaying. Neither bench established whether TSS has the balance sheet to deliver \$35M/quarter of procurement without drawing the credit facility or raising equity. This is arguably the most important open question in the file and neither side answered it.
- **The FY EBITDA guide's composition.** We accepted \$20–22M as given. We did not check what the guide assumes about procurement mix, which is the one thing that would tell us whether the snapback is already inside management's own number.

Primary sources: [TSS, Inc. Form 10-Q/A, filed 2026-08-14](#) (fetched via text proxy; direct SEC requests return 403 on this path) · [Dell Technologies fiscal Q2 2027 conference call notice](#), [Businesswire, 2026-08-18](#)

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